

1.

CASE #	CASE NAME	HEARING NAME
CVRI2405269	TRAN VS PACIFIC SPECIALTY INSURANCE COMPANY	MOTION FOR SUMMARY JUDGMENT OR IN THE ALTERNATIVE SUMMARY ADJUDICATION

Tentative Ruling: Off-Calendar 6/30/26

2.

CASE #	CASE NAME	HEARING NAME
CVRI2600821	HAMLIN VS HYUNDAI MOTOR AMERICA	MOTION TO COMPEL ARBITRATION

Tentative Ruling: GRANT. NO OPPOSITION HAS BEEN FILED.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2601394	SAGARAL VS HYUNDAI MOTOR AMERICA	MOTION TO COMPEL ARBITRATION

Tentative Ruling: DENIED

PROOF OF SERVICE: Proper

This is a lemon law case. On July 13, 2023, Plaintiffs William and Linda Sagaral ("Plaintiffs") leased a 2023 Hyundai Ioniq 6 ("Subject Vehicle"), which was manufactured and/or distributed by Defendant Hyundai Motor American ("Defendant" or "HMA"). Plaintiffs allege that HMA failed to conform the Subject Vehicle to the express written warranties within a reasonable number of repair attempts. HMA refused to repurchase the Subject Vehicle in violation of the Song Beverly Consumer Warranty Act ("Song Beverly Act.")

On March 6, 2026, Plaintiff filed his Complaint. She asserts three causes of action for: (1) Violation of the Song Beverly Consumer Warranty Act—Breach of Express Warranty; (2) Violation of the Song Beverly Consumer Warranty Act—Breach of Implied Warranty; and (3) Violation of Bus. & Prof. Code § 17200+.

Defendant now moves to compel arbitration pursuant to an arbitration agreement ("Arbitration Agreement") included in the Owner's Handbook and Warranty Information ("Warranty" or "Warranty Handbook") and an arbitration agreement provided when Plaintiffs enrolled in HMA's Bluelink services. Defendant argues that the FAA applies to the Arbitration Agreement. Defendant argues that the Agreement is enforceable and applies to all of Plaintiffs' claims. Defendant argues that the doctrine of equitable estoppel applies because all of Plaintiffs' claims rely on the Warranty containing the Arbitration Agreement. Defendant argues that the Arbitration Agreement is not unconscionable. Defendant argues that Plaintiffs agreed to the terms and conditions of

the Bluelink services agreement, including the agreement to arbitrate. Defendant argues that the Bluelink arbitration agreement applies to all claims involving the Vehicle.

Plaintiffs argue that the Arbitration Agreement is unenforceable since it lacks mutual assent and was not signed by Plaintiffs. Plaintiffs argue that the Warranty is not a contract. Plaintiffs argue that the doctrine of equitable estoppel does not apply because the claims are not based on the Warranty. Plaintiffs argue that there is no evidence that they agreed to the Bluelink Arbitration Agreement. Plaintiffs argue that the Bluelink Arbitration Agreement is vague and overbroad, rendering it unconscionable.

In its Reply, Defendant argues equitable estoppel applies to the Arbitration Agreement because all of Plaintiffs' claims rely on the warranty. Defendant again argues that Plaintiffs agreed to the Bluelink Arbitration Agreement by accepting the terms and conditions.

HMA requests **judicial notice** of the Complaint filed in this action, which is granted under Evid. Code § 452(d), which permits judicial notice of court records.

As to the ***motion to arbitrate***, upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) Arbitration of disputes is favored and "when there is doubt as to the meaning and construction of an agreement for mediation and/or arbitration, that doubt should be resolved in favor of those processes." (*Bono v. David* (2007) 147 Cal. App. 4th 1055, 1062.) The moving party bears the burden of proving the existence of a valid arbitration agreement, which can be met by attaching a copy of the agreement. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842.) The burden then shifts to the opposing party to prove any defense. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2015) 55 Cal.4th 223, 236.) "In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Rosenthal v. Great Western Finance Securities Corp.* (1996) 14 Cal 4th 394, 413-414.)

Defendant argues that the ***Federal Arbitration Act*** applies to the Arbitration Agreement. The Federal Arbitration Act (9 U.S.C. §§1 et seq.) generally governs arbitration in written contracts involving interstate commerce and authorizes enforcement of arbitration clauses unless grounds exist in law or equity for the revocation of any contract, similar to the California Arbitration Act. (9 U.S.C. §2; *Basura v. U.S. Home Corp.* (2002) 98 Cal.App.4th 1205, 1213.) Whether an arbitration clause is governed by the FAA is determined by whether the agreement evidences a transaction involving interstate commerce. (*Guiliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276, 1286; see also *Allied-Bruce Terminix Companies, Inc. v. Dobson* (1995) 513 US 265, 273-281.) Additionally, an express provision that an arbitration agreement will be governed by the FAA is enforceable even if interstate commerce is not established. (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46

Cal. App. 5th 337, 355.) Here, the Arbitration Agreements in the Warranty expressly provides that the FAA applies. (Decl. of Ameripour, Ex. 3, p. 14.)

Both the FAA and the California Arbitration Act require the existence of a valid arbitration agreement between the parties, before arbitration can be compelled. (See 9 U.S.C. §2 and Code Civ. Proc., §1281.2) In this case, **HMA produced a copy of a 2023 Hyundai Owner's Handbook**, which contains an arbitration agreement which provides:

If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through the American Arbitration Association (AAA) under its Consumer Arbitration Rules.

(Decl. of Ameripour, Ex 2, p. 12.) The Arbitration Agreement further provides:

If you purchased or leased your vehicle in California, your warranty is made subject to the terms of this binding arbitration provision. By using the vehicle or requesting or accepting benefits under this warranty, including having any repairs performed under warranty, you agree to be bound by these terms. If you do not agree with these terms, please contact us at opt-out@HMAUSA.com within thirty (30) days of your purchase or lease to opt-out of this arbitration provision.

(Id, p. 14.)

Plaintiffs argue that the Arbitration Agreement is not enforceable because there is no evidence of mutual assent. "In California, '[g]eneral principles of contract law determine whether the parties have entered a binding agreement to arbitrate.'" (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development, LLC* (2012) 55 Cal.4th 223, 236.) "An essential element of any contract is the consent of the parties or mutual assent." (*Donovan v. RRL Corp.* (2001) 26 Cal.4th 261, 270, Civ. Code §§ 1550, 1565.) "Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understanding." (*Esparza*

v. Sand & Sea, Inc. (2016) 2 Cal.App.5th 781, 787-788.) Mutual assent may be established by conduct as well as words as long as the conduct manifests an intent to form a binding contract. (*Binder v. Aetna Life Ins. Co.* (1999) 75 Cal. App. 4th 832, 850-851.)

Here, neither the Arbitration Agreement nor Warranty Handbook are signed by Plaintiff. Nor is there any declaration or affidavit of an HMA or dealership employee with personal knowledge of the delivery of the Warranty. While the normal procedures of document authentication are not necessary for the purpose of establishing the existence of an arbitration agreement, facts necessary for a determination of its enforceability are proven by affidavits and declarations. (*Condee v. Longwood Management Corp.* (2001) 88 Cal. App. 4th 215, 218.) In this case, there is no evidence that the Arbitration Agreement was provided to Plaintiff with the Warranty at the time he purchased the Subject Vehicle. While the Complaint vaguely references “written warranties” (Comp., ¶ 14), it is not clear that these warranties are the same as the Warranty containing the Arbitration Agreement. Defendant has not established that the existence of an arbitration agreement covering Plaintiff’s claims.

Defendant argues that Plaintiff is **estopped** from denying the arbitration agreement under the doctrine of equitable estoppel. Under the doctrine of equitable estoppel, “a litigant may not assert claims based on a contract while simultaneously arguing that an arbitration clause in that contract is ineffective,” (*Stiner v. Brookdale Senior Living, Inc.* (9th Cir. 2020) 810 F.App’x 531, 534.) However, this rule applies to contracts. Under California warranty law, warranties, unlike contracts, do not impose binding obligations on the buyer. (*Weinstat v. Dentsply Int’l, Inc.* (2010) 180 Cal.App.4th 1213, 1228-1229.) “A warranty relates to the title, character, quality, identity, or condition of the goods. The purpose of the law of warranty is to determine what it is that the seller has in essence agreed to sell.” (*Keith v. Buchanan* (1985) 173 Cal.App.3d 13, 20.) Based on those warranties, the seller is bound to deliver and the buyer to accept goods that match the warranties made. (*Ibid.*) Written warranties are merely a written statement of promises made to the consumer prior to a purchase, which constitute a declaration of the facts presented or promises made to the consumer in connection with the sale of a good. (Com. Code §2313; Civil Code §§ 1791.2, 1790.3; 15 U.S.C. § 2301(6).) While the seller may be held to the promises/warranties it made to a consumer prior to the sale of a vehicle, which are reduced to a written form pursuant to Civ. Code §1791.2, Com. Code §2313 and/or 15 U.S.C. §2301(6), the written warranties do not constitute a contract between the manufacturer and the buyer. As such, Plaintiff is not estopped from denying the Arbitration Agreement contained in the Warranty Handbook even though his warranty claims against HMA are based on the warranties which are also contained therein. Overall, Defendant has not established that the Warranty Handbook Arbitration Agreement is enforceable.

Defendant next argues Plaintiffs should be compelled to arbitration under an agreement allegedly entered when Plaintiffs enrolled in **HMA’s Bluelink service**. The Hyundai Bluelink services refer to a connected car system that includes various functions and features. (Decl. of Rao, ¶ 3.) Defendant argues that Plaintiffs electronically agreed to the terms and conditions of the Bluelink Agreement, which includes an arbitration provision. (Id at ¶¶3-6.)

Defendant again fails to show mutual assent. HMA's Director of Ops & Owner Apps/Web merely describes the process by which customers "like Plaintiff" agree to the Bluelink Agreement upon enrolling their vehicle in Bluelink service. (*Id.* at ¶ 6.) Exhibit 1 is an "example screen capture" that reflects the content and layout that Plaintiffs "would have seen" and Exhibit 2 is the Bluelink Agreement "that was in effect at the time." (*Id.*, ¶ 6, Exhibits 1-2.) These documents are generic, and not specific to Plaintiffs.

HMA does not show Plaintiffs checked the box, or otherwise "signed," or ever agreed to the Bluelink Agreement. Rao does not state he has personal knowledge that Plaintiffs enrolled in the Bluelink service at the time of purchase, nor does he attach or refer to any documents upon which he relied in making this assertion. Rao does not state, for example, that all purchasers of Hyundai vehicles must enroll in the Bluelink Agreement or otherwise explain how he knows Plaintiff enrolled in the Bluelink service or assented to the Bluelink Agreement.

Even assuming HMA showed mutual assent, the arbitration provision in the Bluelink Agreement does not cover Plaintiff's claims in this action. The Bluelink Arbitration Agreement provides, in relevant part:

Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, Connected Services Systems, Service Plans, the Vehicle, use of the sites, or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law. However, any dispute you or we may have relating to copyrights or other intellectual property shall not be governed by this agreement to arbitrate. For the avoidance of doubt, this means that any claims you or we may have relating to intellectual property rights against the other, including injunctive and other relief sought, may be brought in a court of competent jurisdiction. The agreement to arbitrate otherwise includes, but is not limited to:

claims based in contract, tort, warranty, statute, fraud, misrepresentation or any other legal theory; claims that arose before this or any prior Agreement (including, but not limited to, claims relating to advertising); claims that are currently the subject of purported class action litigation in which you are not a member of a certified class; claims relating to the Vehicle for which you seek product or service support via the sites; claims arising out of or relating to the Telephone Consumer Protection Act; claims relating to your data privacy or information security; and claims that may arise after the termination of this Agreement.

(Decl. of Rao, Ex. 2 at § 14(C)(a).)

By its own language, the Bluelink Agreement covers HMA's "provision of Connected Services to [Plaintiff]," (*Id.* at p.1), which within the Bluelink Agreement refers to a connected car system that includes various functions and features, including Automatic Collision Notification and Assistance; SOS Emergency Assistance; Stolen Vehicle Recovery, Vehicle Immobilization and Vehicle Slowdown; Curfew Alerts, Geo-Fence, Driving Information, Speed Alert & Valet Alert; Remote Door Unlock/Lock; Remote Horn & Lights; Remote Start; Recall Advisor; Diagnostic Information/Maintenance Alert; Daylight Savings Time; Location Sharing; and/or Wi-Fi. (*Id.* at § 8.)

Moreover, the arbitration provision contained in the Bluelink Agreement specifically states that HMA and Plaintiff "agree to arbitrate any and all disputes and claims between [them] *arising out of or relating to* this Agreement, Connected Services, Connected Services Systems, Service Plans, your Vehicle, use of the sites, or products, services, or programs you purchase, enroll in or seek product/service support for . . . via the sites or through mobile application[.]" (*Id.* at Exhibit B, § 15(C)(a).) Nowhere in the complaint are there any allegations arising out of the Bluelink Agreement or any defects related to Connected Services.

Defendant argues that the arbitration provision should be broadly construed to cover all disputes related to the "Vehicle" and "warranty." This argument lacks merit. "General contract law principles include that the basic goal of contract interpretation is to give effect to the parties' mutual intent at the time of contracting The words of a contract are to be understood in their ordinary and popular sense Furthermore, the whole of a contract is to be taken together, so as to give effect to every part, if reasonably practicable, each clause helping to interpret the other." (*Franco v. Greystone Ridge Condominium* (2019) 39 Cal.App.5th 221, 227 [internal citations and quotations omitted].)

HMA takes the terms "Vehicle" and "warranty" too literally. These words must be construed in the context of the entire Bluelink Agreement. This agreement clearly governs the terms and conditions of "Connected Services," not warranties. Moreover, the Bluelink Agreement distinguishes between the "Connected Services" that are contemplated therein and other issues that may be covered by HMA's warranty. (Decl. of Rao, Ex. 2, § 11 ["YOUR VEHICLE'S LIMITED WARRANTY does not cover the Connected Services..."].) Thus, the arbitration provision in the Bluelink Agreement should be construed as covering disputes related to these services only.

For these reasons, Defendant failed to meet its burden showing the existence of a valid and enforceable arbitration agreement under the Warranty Handbook or the Bluelink Agreement. The motion is denied.